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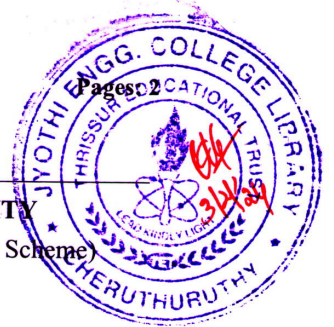
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Reg No.: _____

Name: _____

APJ ABDUL KALAM TECHNOLOGICAL UNIVERSITY

B.Tech S6 (PT) (S) / S6 (S, FE) Examination January 2024 (2019 Scheme)



Course Code: HUT300

Course Name: INDUSTRIAL ECONOMICS & FOREIGN TRADE

Max. Marks: 100

Duration: 3 Hours

PART A

Answer all questions, each carries 3 marks.

Marks

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| 1 | State law of demand and discuss on three exceptions to it. | (3) |
| 2 | What are the central problems of an economy? | (3) |
| 3 | Distinguish between explicit and implicit cost. | (3) |
| 4 | What is shut down point? | (3) |
| 5 | Explain the conditions for profit maximization of a firm. | (3) |
| 6 | Illustrate why the demand curve in perfect competition is perfectly elastic. | (3) |
| 7 | Describe the fiscal policy measures to control an inflationary situation. | (3) |
| 8 | What are government securities? | (3) |
| 9 | Differentiate between devaluation and depreciation. | (3) |
| 10 | Examine the advantages of protectionism in international trade. | (3) |

PART B

Answer one question from each module, each carries 14 marks.

Module I

- 11 a) Explain with a diagram, the concept of opportunity cost and its linkage with PPC. (7)
- b) What is the law of Diminishing marginal utility? Explain the law with the help of an empirical example. (7)

OR

- 12 a) What are the types of price elasticity of demand? (7)
- At an initial advertisement expenditure of Rs.50000, the demand for a firm's product is 80,000 units. When the advertisement budget is increased to Rs.60000, the sales value increased to 90,000 units, Calculate advertisement elasticity of demand.
- b) Diagrammatically explain deadweight loss of taxation. (7)

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Module II

- 13 a) State and explain the law of variable proportion. (7)
b) What are isoquants? Describe its characteristics. (7)

OR

- 14 a) With the help of a diagram, explain producer's equilibrium and expansion path. (7)
b) Explain break even analysis with the help of a diagram. What are its uses? (7)

Module III

- 15 a) Explain equilibrium of a firm under monopolistic competition. (7)
b) Write notes on: i) cost plus pricing ii) target return pricing iii) predatory pricing (7)
- iv) price skimming.

OR

- 16 a) Compare the market situation of monopoly and monopolistic competition. (7)
b) Diagrammatically explain the situation, 'A firm functioning under perfect competition is facing loss in short run'. (7)

Module IV

- 17 a) Write notes on i) NIFTY and SENSEX ii) Demat and Trading account iii) Bank Rate iv) CRR and SLR (7)
b) Explain circular flow of income in a four sector economy. (7)

OR

- 18 a) Explain the monetary policy measures to control inflation. (7)
b) Discuss the sources of business financing. (7)

Module V

- 19 a) Explain absolute advantage theory of international trade. (7)
b) With the help of a diagram, examine the effects of tariff. (7)

OR

- 20 a) What is meant by BOP? What are the measures to correct disequilibrium in BOP? (7)
b) Explain comparative cost advantage theory. (7)
